affle

Affle (India) Limited

Q4 & 12M FY2021 Earnings Presentation

For the period ended March 31, 2021

Consumer Intelligence Driven Global Technology Company

affle

Built to Last

15+ years
Track record

Performance driven
Business model

Scalable
Data platforms

High
Growth markets

Growth driven
Global customer base

Accelerated
Consumer digital adoption

Global
Reach & opportunity

Leading
In India

Committed
Leadership

Positive
Cashflows

Robust
Profitability

Strategic
Organic & inorganic growth plan

Affle | Performance Highlights

	Revenue[1] Growth	EBITDA[2] Growth	*PAT Growth
			Normalized PAT (Refer slide 4 for the detailed working)
FY2021	*12M FY2021 vs. 12M FY2020*		
	Up 54.8% Y-o-Y	Up 46.4% Y-o-Y	Up 57.4% Y-o-Y
Q4 FY2021	*Q4 FY2021 vs. Q4 FY2020*		
	Up 76.9% Y-o-Y	Up 63.4% Y-o-Y	Up 73.6% Y-o-Y

FY2021 Highlights & Ratios

- Operating Cash Flow[3] up 43.4% y-o-y
- Operating Cash Flow[3] / PAT: 99.9%
- **ROE: 37.6%
- **ROCE: 19.7%

Note: 1) Revenue from contract with customers; 2) Creditors written back which are part of 'Other Income' in the reported financials, are operating income in nature and adjusted in EBITDA (Refer slide 4); 3) Operating cash flows adjusted for Deferred Tax Liability on account of Goodwill (one-time expense)

***Return on Equity = (PAT / Total Shareholder's Equity); Return on Capital Employed = [EBIT /(Total Assets - Current Liabilities)]*

Consolidated Financial Summary

Q4 FY2021 Operating Expenses broadly in-line to the previous quarter trend (Q3)

In Rs. million	Q4 FY2021	Q4 FY2020	*Y-o-Y Growth*	12M FY2021	12M FY2020	*Y-o-Y Growth*
Revenue from Contracts with Customers	**1,416**	**800**	***76.9%***	**5,168**	**3,338**	***54.8%***
Inventory and Data Costs	812	459	*76.9%*	2,977	1,921	*54.9%*
Employee Benefits Expense	164	64	*154.4%*	540	273	*97.8%*
Other Expenses	95	75	*26.9%*	354	265	*33.9%*
Add: Creditors written back[1] (Other Operating Income)	1	9		3	9	
EBITDA	**345**	**211**	***63.4%***	**1,300**	**888**	***46.4%***
% EBITDA Margin	*24.3%*	*26.1%*		*25.1%*	*26.5%*	
Depreciation and Amortisation Expense	52	48		196	133	
Finance Costs	13	6		36	14	
Other Income (Excl. Creditors written back)	360	25		412	52	
Profit Before Tax	**640**	**182**	***252.4%***	**1,479**	**792**	***86.7%***
Total Tax	54	29		129	137	
(Subtract): Non-controlling Interest	1	0		2	0	
Profit After Tax (Net of Non-controlling interest)[2]	**585**	**153**	***282.7%***	**1,348**	**655**	***105.8%***
% PAT Margin	*32.9%*	*18.3%*		*24.1%*	*19.3%*	

Calculation of Normalized 'Profit After Tax'						
1. Other Income (Excl. Creditors written back) comprises:						
1.a. Gain on revaluation of financial instruments	340	-		340	-	
1.b. Other Income in ordinary course of business	20	25		72	52	
2. Tax outgo on Gain on financial instruments	9	-		9	-	
3. Deferred Tax Liability on account of Goodwill	12	-		14	-	
Normalized PAT	**265**	**153**	***73.6%***	**1,031**	**655**	***57.4%***
Normalized PAT Margin %	*18.5%*	*18.3%*		*19.7%*	*19.3%*	

PAT - (1.a.) + (2.) + (3.)

Note: 1) For clarity, creditors written back which are part of 'Other Income' in the reported financials, are operating income in nature and adjusted in EBITDA
2) Q4 & 12M FY2021 PAT attributable to equity holders of the Company after subtracting Non-controlling interest (On account of 5% shares of Appnext Pte. Ltd., Singapore)

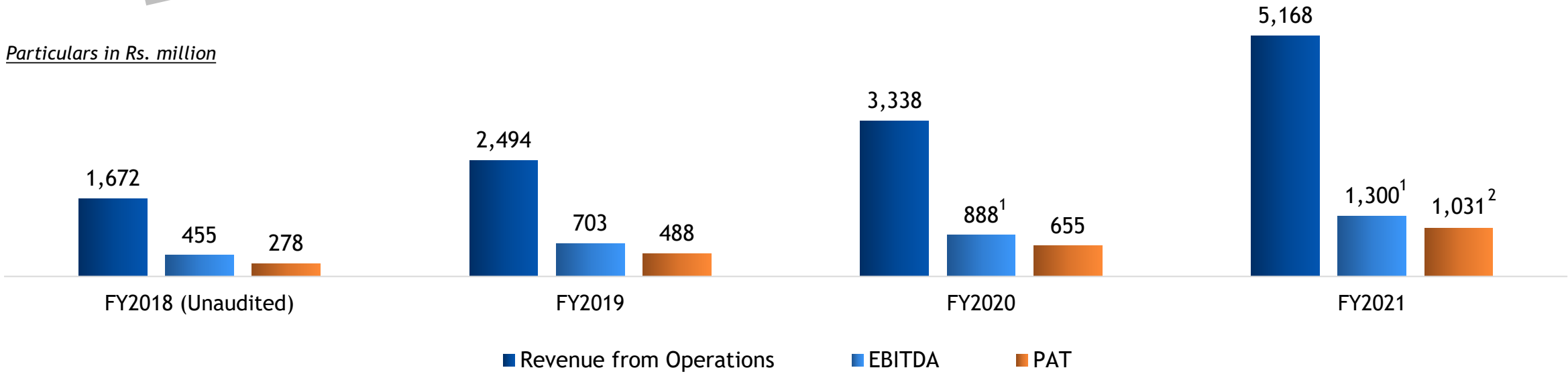
Annual Performance Trend (Consolidated)

Revenue CAGR **45.7%**
EBITDA CAGR **41.9%**
PAT CAGR **54.7%**

CAGR (FY18 - FY21)

Y-o-Y Growth: 54.8% | 46.4% | 57.4%

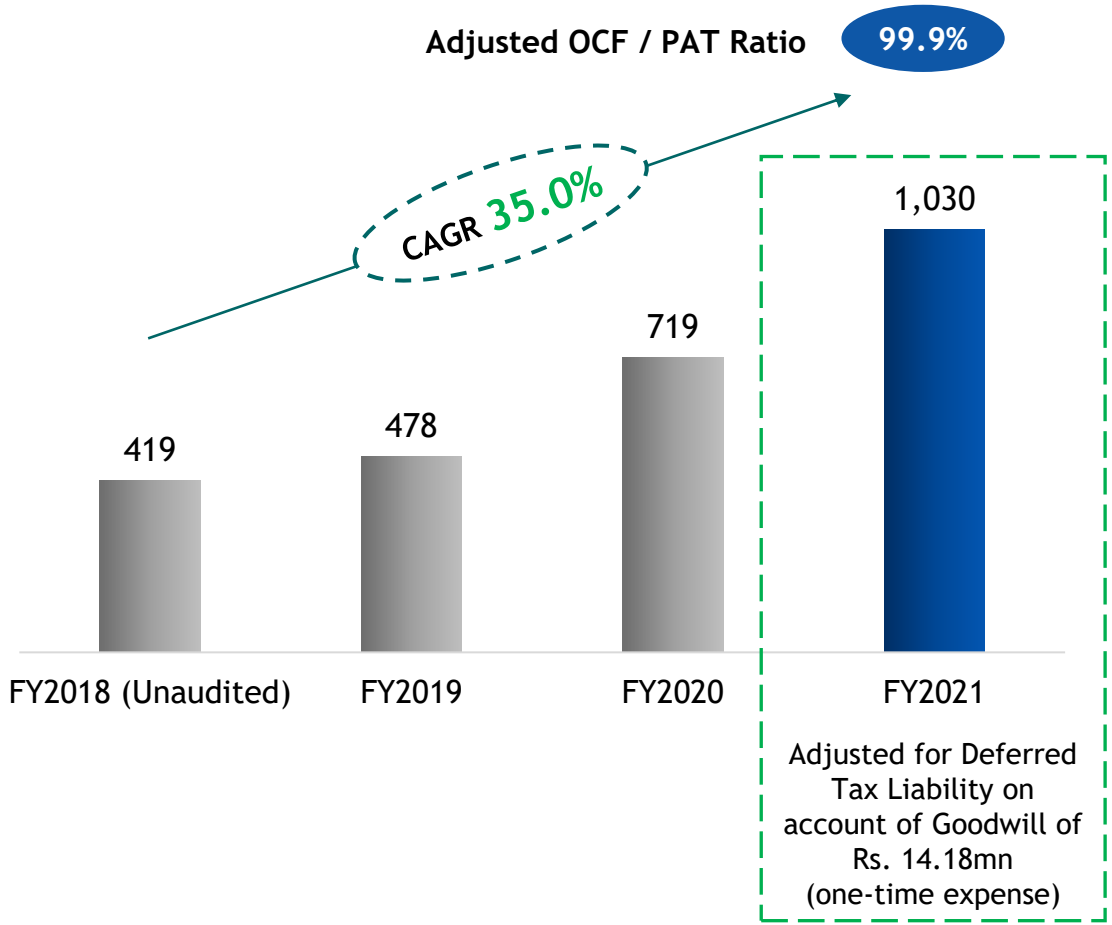
Particulars in Rs. million



Note: 1) Creditors written back which are part of 'Other Income' in the reported financials, are operating income in nature and adjusted in EBITDA (Refer slide 4)
2) Normalized PAT (Refer slide 4 for the detailed working)

Cashflows Trend and Return Ratios (Consolidated)

Operating Cash Flows (Rs. mn)



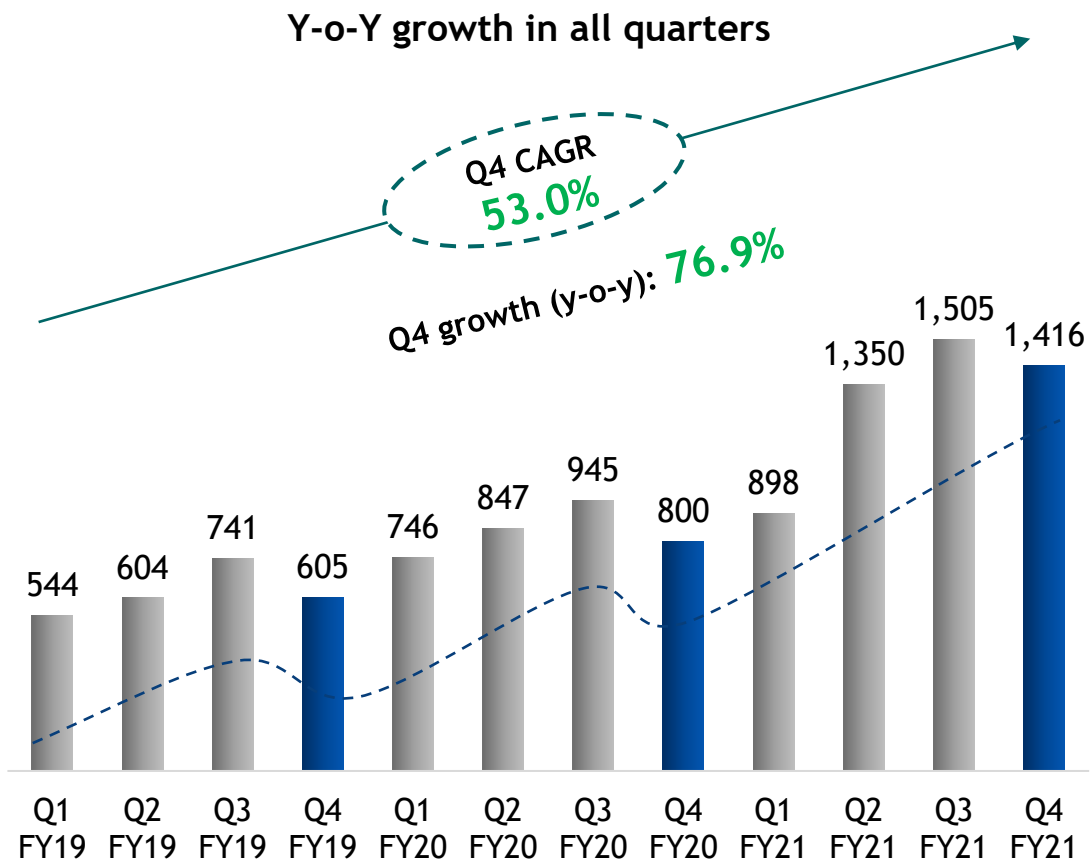
Return Ratios (As of March 31, 2021)

***ROE (%)** *(Return on Equity)*	37.6%
***ROCE (%)** *(Return on Capital Employed)*	19.7%
***ROA (%)** *(Return on Assets)*	17.9%
Gross Debt/Equity (x)	0.33x
Net Debt/Equity (x)	0.15x

**Return on Equity = (PAT / Total Shareholder's Equity); Return on Capital Employed = [EBIT /(Total Assets - Current Liabilities)]; Return on Assets = (PAT/Total Assets)*

Quarterly Performance Trend (Consolidated)

Revenue from Operations (Rs. mn)



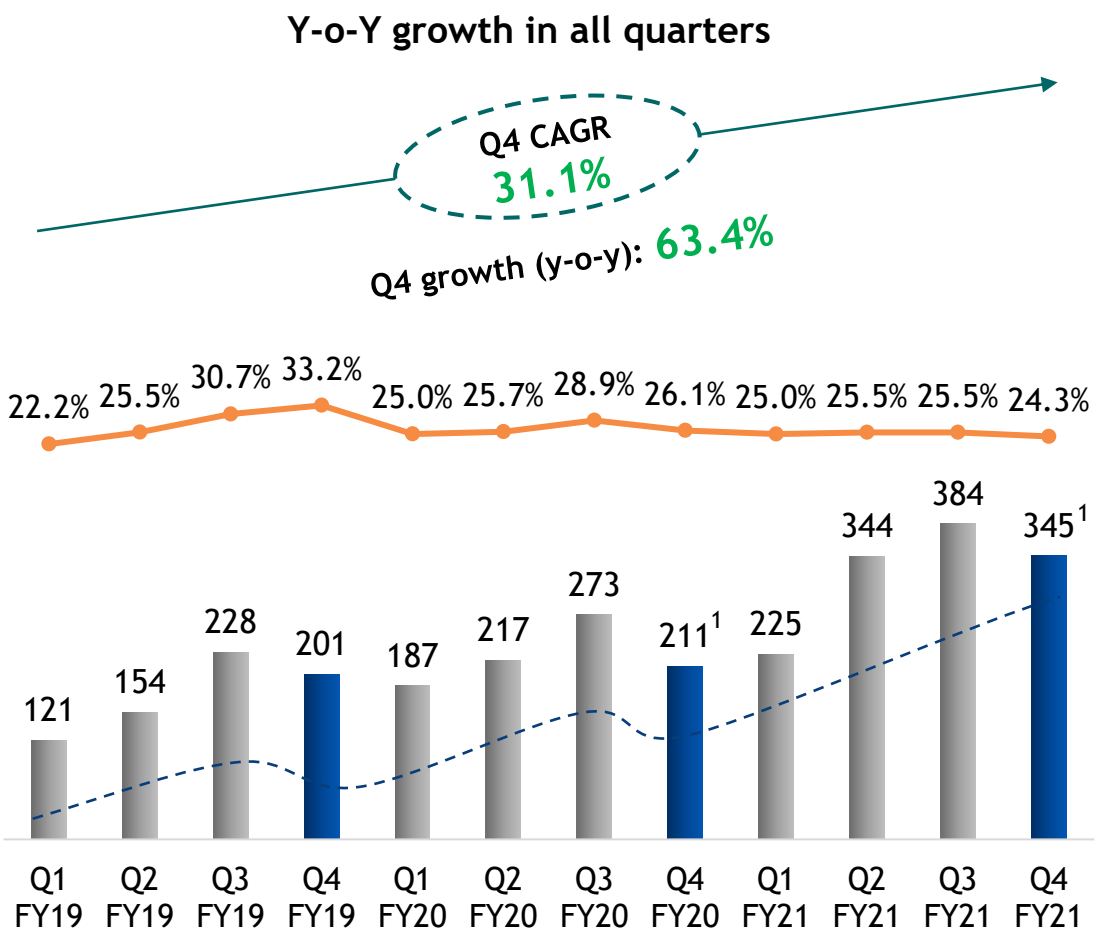
Note: Q3 continues to be highest quarter during the year on account of business seasonality

Performance Discussion (Q4 FY2021)

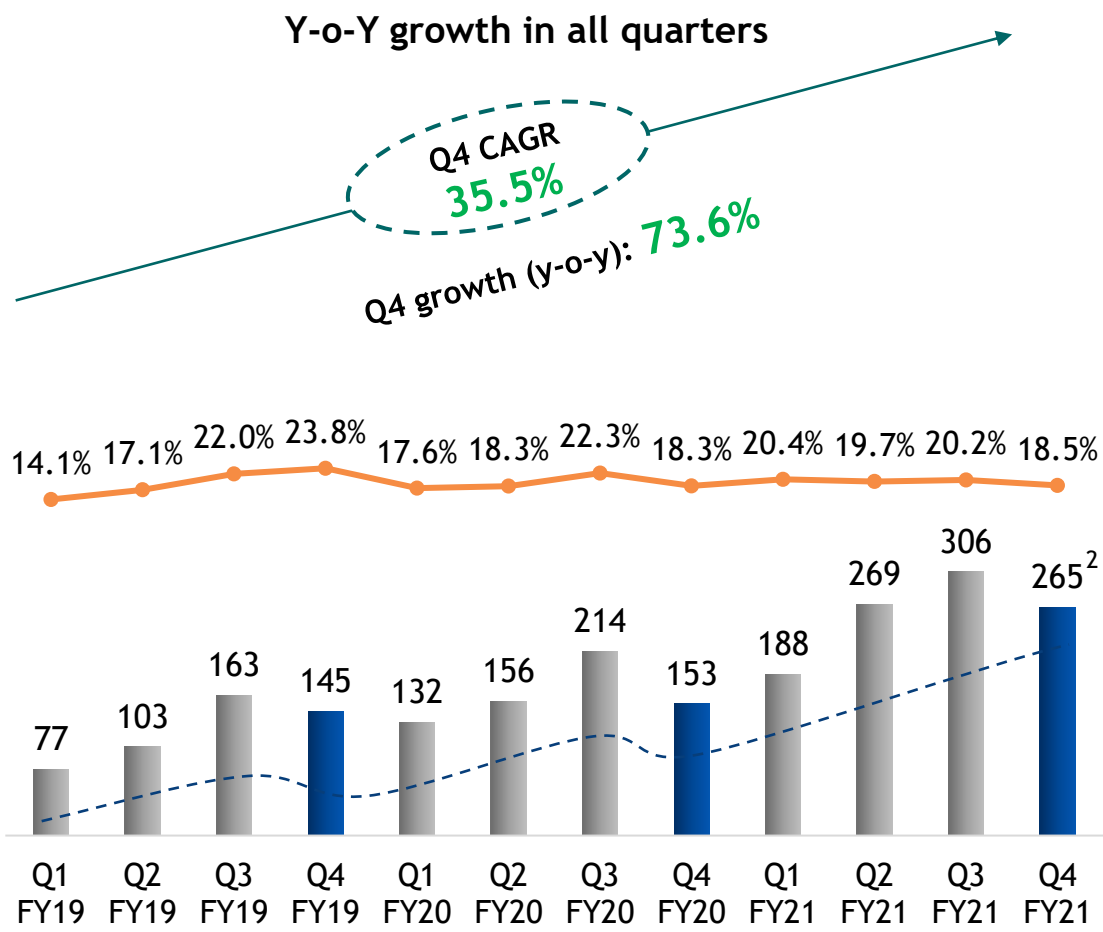
- *Strong business momentum in Q4*
- *Revenue from operations increased by 76.9% y-o-y driven by broad-based growth across both: 1) Total converted users (CPCU business), and 2) Non-CPCU business, coming from both India & International markets*
- *Inventory & Data cost at 57.4% of revenue from contracts with customers, in line with the annual trend*
- *Enhanced human resource capabilities to deepen our technology and access towards emerging markets. This was to drive growth as an integrated in-app, on-device and proximity marketing platform with new innovations towards Connected devices, leading to an increase in Employee Expenses on a y-o-y basis*
- *Operating expenses broadly in line with the previous quarter trend (sequential)*

Quarterly Performance Trend (Consolidated)

EBITDA (Rs. mn) & EBITDA Margin (%)

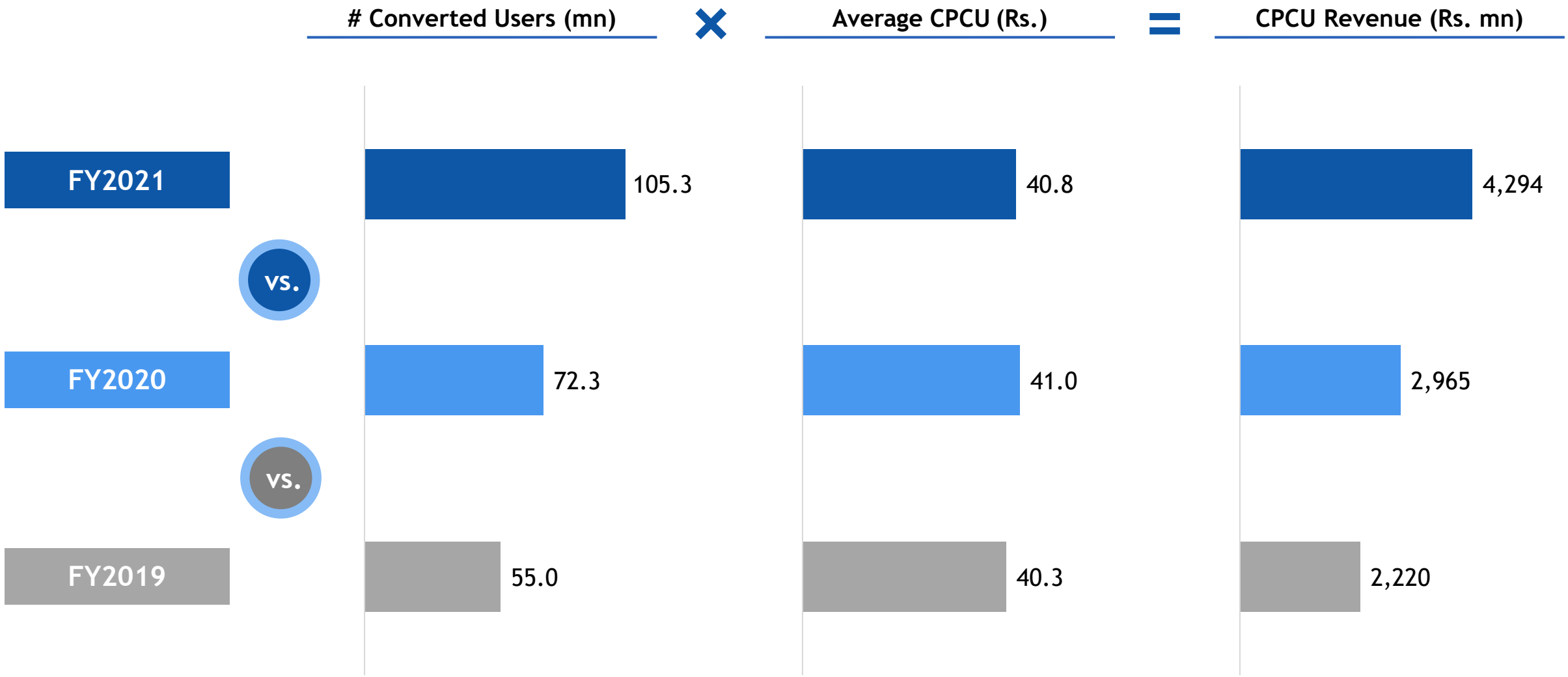


PAT (Rs. mn) & PAT Margin (%)

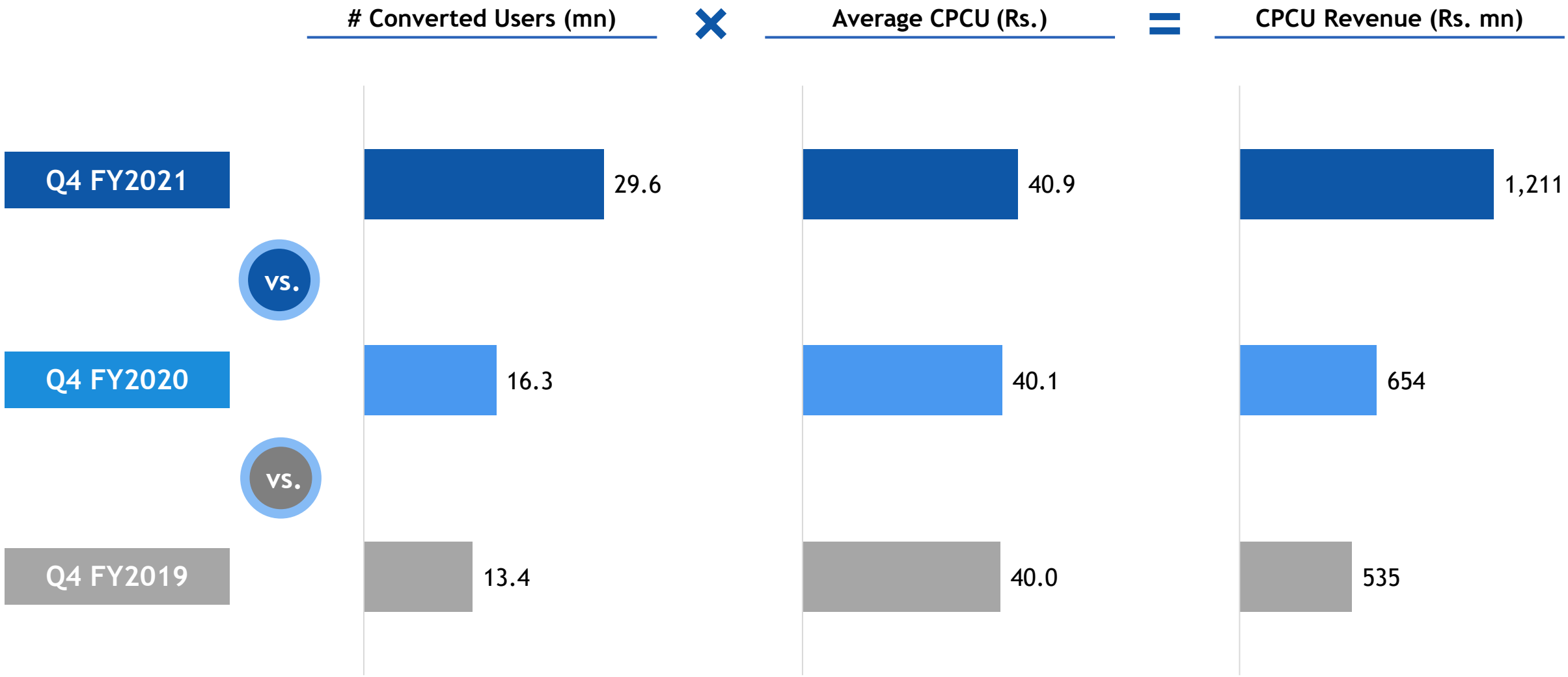


Note: 1) Creditors written back which are part of 'Other Income' in the reported financials, are operating income in nature and adjusted in EBITDA (Refer slide 4)
2) Normalized PAT (Refer slide 4 for the detailed working)

CPCU Business | Annual Performance Trend (y-o-y)



CPCU Business | Q4 Performance Trend (y-o-y)



Verticalized Focus on High Growth Categories

Top 10 Resilient Verticals across E, F, G, H Categories

Category E

- E-commerce
- EdTech
- Entertainment

Category F

- Fintech
- FMCG
- Foodtech

Category G

- Gaming
- Government
- Groceries

Category H

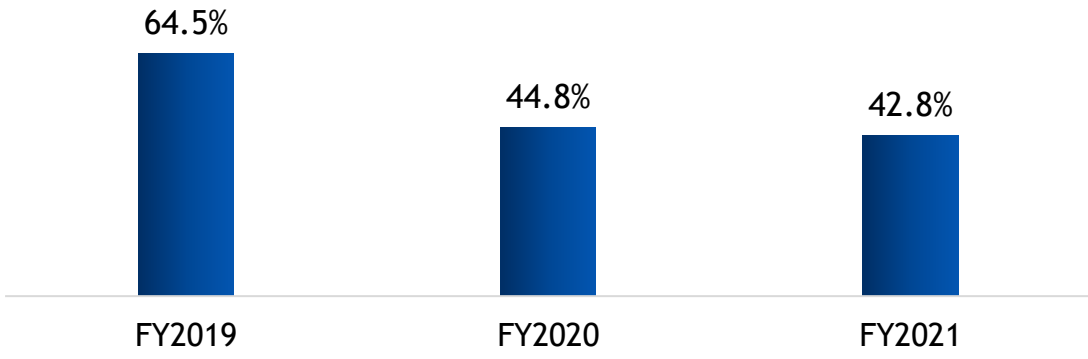
- Healthtech

Revenue Contribution from E, F, G, H Categories

Increasing Revenue Diversity

Revenue contribution from top 10 customers

(as % of consolidated revenue)

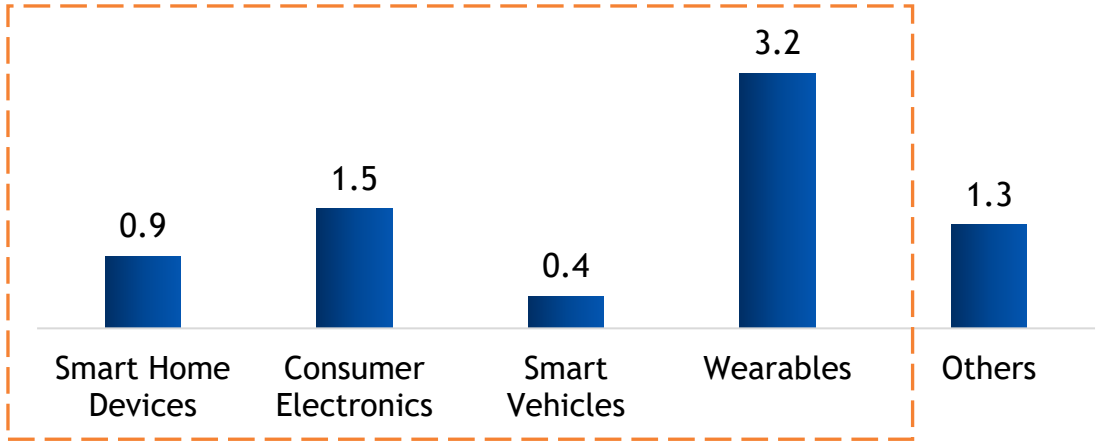


Mobile Connected Global Ecosystem Growing Robustly

Global Industry Trends

c.6bn new connected consumer devices to be added by 2025 globally

Devices in billion



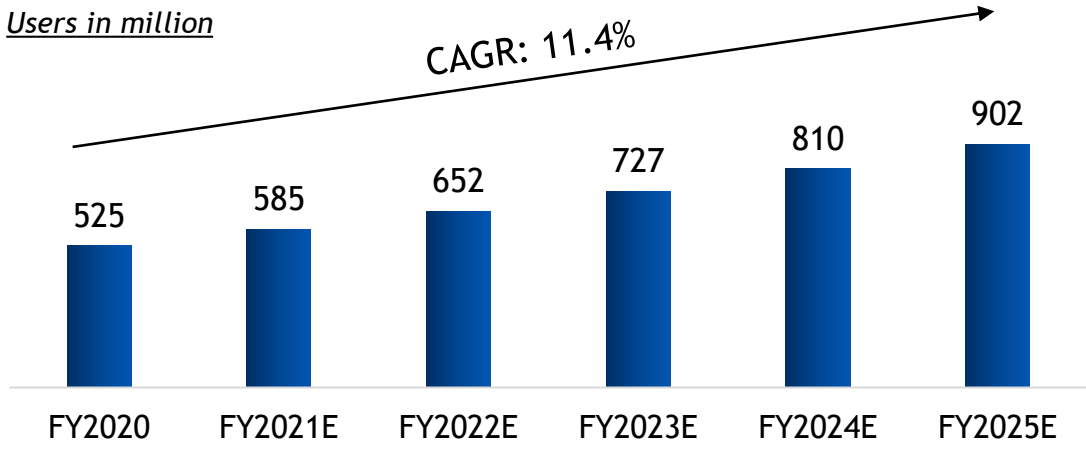
Global CAGR (FY20-25E)

9.0%	11.3%
Digital Ad Spend	Mobile Ad Spend

India Industry Trends

Significant increase in India's digital user base with strong user affinity

Users in million



India CAGR (FY20-25E)

32.4%	24.0%
Mobile Ad Spend	E-commerce Market

Source: Frost & Sullivan Report titled "Industry Insights on the Advertising and Ad Tech Market", 2021

Affle | Recent Developments and Recognitions

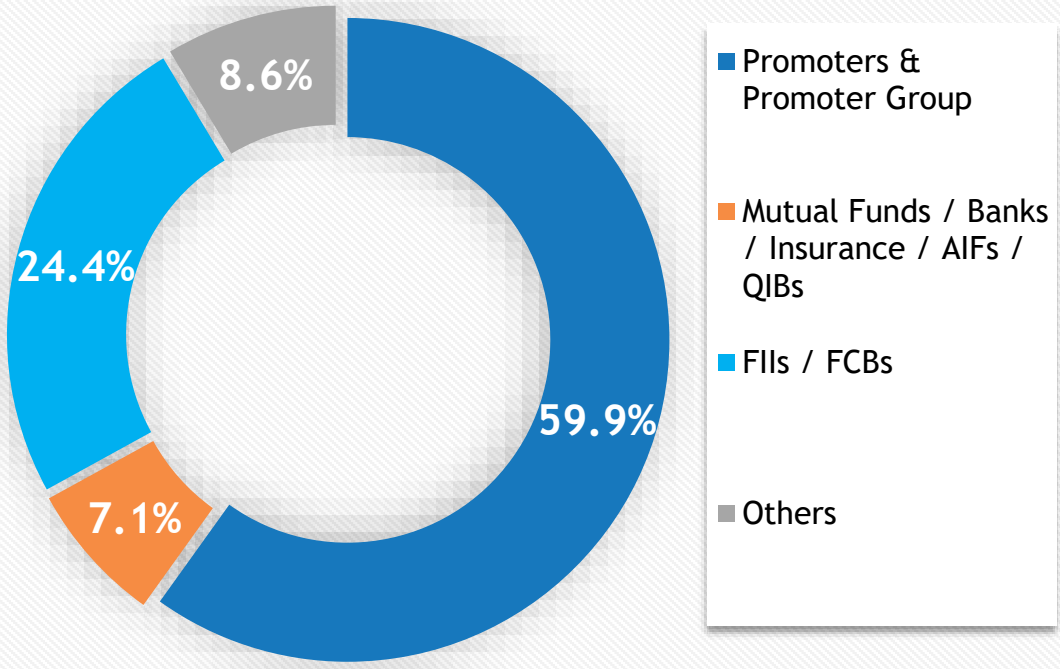
Affle platforms recognised as top performers in the latest AppsFlyer Performance Index across multiple categories

Affle continues to be recognized as a Great Place to Work by Great Places To Work® Institute in 2021

Affle | Investors Information

Shareholding Pattern (At closure of QIP)

Total Shares Outstanding as on April 29, 2021 - 26,650,212



*Brokerages Covering Affle (As on date)

Institutional Research Desk	Nomura	Dolat Capital	Dalal & Broacha
HNI / Retail Desk	Sharekhan	Axis Securities	ICICI Direct

**In order of coverage initiated*

Key Market Updates

- ✓ Constituent of MSCI Global & Domestic Small Cap Indeces; Nifty MidSmallcap 400 and Nifty Smallcap 250 Indeces
- ✓ Ranked amongst top 250 companies on NSE & BSE

Affle | At a Glance

ABOUT

- **Global** technology company
- **Leading** market position in India
- **Profitable** business model
- **Well-defined** strategic growth plan

BUSINESS SEGMENTS

1) **Consumer Platform:** Delivers acquisitions, engagements & transactions for leading brands and B2C companies. Also, includes retargeting & push notification for e-commerce (**98.2%** FY2021 revenue)[1]
2) **Enterprise Platform:** Enabling offline businesses to go online through App development, O2O[2] commerce & data analytics (**1.8%** FY2021 revenue)[1]

GLOBAL REACH

India, South East Asia (SEA), Middle East and Africa (MEA), North America (NA), Europe, Japan, Korea and Australia (JKA)

49.7%
India revenue[1,3]
FY2021

50.3%
International revenue[1,3]
FY2021

END TO END MOBILE ADVERTISING PLATFORM

- In-house data management platform with over **2.2 Bn**[4] connected devices reached, that drives our predictive optimization algorithm
- Fraud Detection platform to help deliver high ROI to our customers

R&D FOCUS WITH A STRONG PATENT PORTFOLIO

3
Patents registered in US for digital advertising

10
Patents filed in USA & India for digital ad fraud detection

1
Patent related to retargeting business filed in US

4
Patents filed in Singapore

FINANCIAL SUMMARY[5]

(12M FY2021 Consolidated)

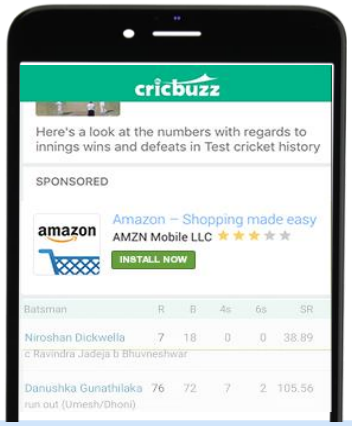
Revenue	Rs. 5,168mn
EBITDA	Rs. 1,300mn
PAT	Rs. 1,031mn

1) For twelve months ended Mar 31, 2021 on a consolidated basis; 2) O2O: Online to Offline; 3) Region-wise contribution and is different from the billing entity-wise segmental break-up disclosed in financial results; 4) For the 12 months period of Apr 1, 2020 to Mar 31, 2021; 5) Refer slide 4 for detailed financial working and adjustments

Affle | Cost Per Converted User (CPCU) Business

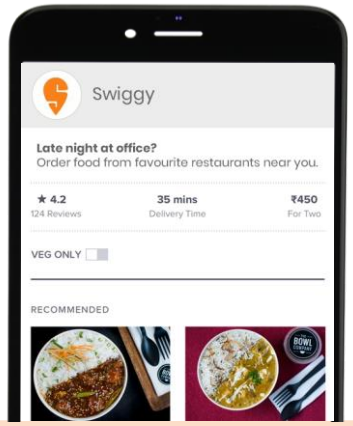
87.3% of Consumer Platform revenue contributed by CPCU model in Q4 FY2021 and 12.7% from Non-CPCU

New user conversion (online)



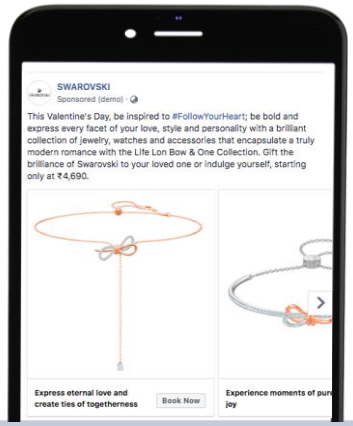
Use Case – Targeted new user acquisition optimized to in-app transaction/registration/event

Existing user repeat conversion (online)



Use Case – Target interested user to complete the transaction

New/existing user conversion (offline)



Use Case – Online bookings to drive offline walk-ins (O2O)

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